

HALQA

Meeting Brief (compact) — Akif Saeed, SECP Chairman, 23 Jul 2026 · 2026-07-13 · prepared for the chairman

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0 · Who + how to play it

- **Akif Saeed = sitting Chairman, SECP** (ex-Commissioner Securities Market, ex-ADB, ex-AmEx corporate banking). Knows NBFC/EMI/AMC/CIS cold.
- **Mentorship, not a pitch** — he won't invest; the prize is guidance + credibility + the **regulatory sandbox**. Never bluff the licence position — candour wins, spin loses.
- **Landmine:** the investment layer (idle funds → T-bills/Sukuk) is his exact domain and an NBFC "Investment Finance" activity. Don't present it as live — call it a licensed-future product. Lead with **record-only committee + anti-default + credit record**.

1 · 15-minute flow

1. **What (30s):** record-only committee/ROSCA digitiser — "we record the money, never hold it."
2. **Problem (his frame):** committees run on social collateral; two killers = **operator runs off** (Karachi Rs 400m; Indian chit funds) + **early recipient stops paying**. We kill both.
3. **Fraud → no custody:** money moves member-to-member on a double-entry ledger; **no central pool to steal** = the root cause of every mass fraud, removed. Also why no EMI licence needed.
4. **Default → position + law** (spend the most time here — §2).
5. **Licence position, proactively:** "We stay a facilitator — no funds held, no lending, no pooling — outside EMI/NBFC. I'd rather learn the lines from you than trip over them."
6. **Ask:** the SECP sandbox (§6).
7. **Close:** "What would you need to see before you'd consider this credible to pilot?"

2 · Anti-default system (no custody, no deposits)

- **Turn position IS the collateral** — a late-turn taker pays in every round before collecting, so their loss to the group = 0.
- **New-member quarantine:** any new member, whatever their score, may take **only the last turns** of a public circle. Early turns unlock after **2 clean completed circles + manual verification**. (Invite-only circles bypass it — the host vouches = social collateral.)
- **Legal layer:** weekly e-signed **undertaking (iqrarname)** + **mutual member↔member PG** (never to Halqa) → fast **Order XXXVII** summary suit + arbitration.
- **Punishment:** day-1 score damage → ban → RecoveryCase; **family/linked-account withholding**; platform-wide **CNIC blacklist** + paid rehab.
- **Simulation (say: simulation):** 100k Pakistan-calibrated members → post-payout default **~1.4%** → **~0.3%**, **~85%** of exposure recovered vs ~0% in a paper committee.

3 • Verification discounts (the cheque / income / employer system)

Proof	Discount	Why it de-risks
Guarantee cheque on file	95%	Arms the §489-F criminal route; collected in person by an agent
Income slip + employer verified	80%	Certain, traceable income (housewife/student → spouse/guardian's employer + pay slip)
Salary account linked	20%	Auto-collection from salary = most certain collection

- **Employer angle:** verified employment is also the on-ramp to **employer payroll deduction** (future) — the Money Fellows corporate shield. All recorded, never held — a pricing lever, not custody.

4 • Legal — jail & assets (verified)

- **Jail? Essentially NO.** No imprisonment for civil debt in Pakistan. Only criminal route = **§489-F PPC** — **dishonoured cheque** (**≤ 3 yrs**), which exists here only as the *optional* cheque tier; even §489-F is punishment-only ("recovery cannot be made through this process"). §420 (cheating) needs proven up-front deception.
- **Assets? Yes, after a court decree.** Undertaking + PG qualify for **Order XXXVII** summary suit (10-day leave-to-defend → decree executable → **attachment & sale of assets**). No self-seizure; decree amount only; some assets exempt. Timeline: months if uncontested.
- **Flags:** undertaking/PG are lawyer-unreviewed drafts; with no collateral held, enforcement = the signed instruments + reputation + unproven members can't take early money at all.

5 • Head-to-head

Dimension	Oraan (PK)	Money Fellows (EG)	Halqa
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Money	Holds funds (escrow/bank)	Holds funds (Banque Misr)	Record-only — never holds
Prevention	Manual CNIC + 3–5 day vetting, references, family liability	Position-priced slots, earned progression, salary link	Position quarantine + earned graduation + verification discounts + mutual PG/undertaking
Recovery	Recall outstanding + legal + bureau; withhold family payouts	Covers the gap from its own balance sheet (members never lose); iScore blacklist	No company capital: Order XXXVII → asset attachment; optional cheque → \$489-F; family withholding; blacklist; future bureau
Bureau	No (proprietary)	Educates on iScore; proprietary underwriting	Own scoring now; pull/report = partner-gated
Revenue	Mgmt fee by payout month	Slot fee (~16%→0%) + card interchange + merchant + B2B	Turn/service fees (– discounts) + 10% turn-market fee; future merchant + employer
Users	~10k+ (2021), 84% women	~1M served, ~350k MAU, \$1.5B processed, profitable 2025	Prototype (pre-launch)
Funding	~\$4M	>\$60M	Pre-seed
Goal / market	Women's committees; PK ROSCA ~\$5B/yr, ~41%	Egypt gam'eya → Africa	Same PK ~\$5B/yr market → emerging markets

- **One line:** *"They recover from their balance sheet — needs custody, a licence, capital. We recover through position and law — which is exactly why we run record-only without a licence today."*

6 • Licensing — what lets us operate (verified, with links)

- **Need (don't have yet): SECP private-limited company** (eservices.secp.gov.pk) + **FBR NTN** (auto-linked, iris.fbr.gov.pk).
- **Don't need while record-only: EMI licence (SBP)** = only to hold/issue e-money; **NBFC lending licence** = only to lend; **NBFC Investment-Finance licence** = only to pool+invest funds (the investment-layer trigger). Sources: SBP EMI Regs 2019; secp.gov.pk/licensing/nbfc/investment-finance-services.
- **Pilot pathway: SECP Regulatory Sandbox** (cohorts since 2020; 6–12 mo live test; rules allow *unregistered start-ups intending to register*) — the highest-value door he can open. secp.gov.pk/regulatory-sandbox.
- *Lawyer-to-confirm the exact classification of our structure.*

7 • Credit-bureau roadmap (he asked)

- **Pull a score (read):** subscriber via a negotiated contract with **TASDEEQ / DataCheck** — precedent: **Karandaaz (a non-bank) signed a TASDEEQ agreement**. TASDEEQ scale = **200–600**; mapped to our 300–850 in code. → PARTNER AGREEMENT.
- **Report defaults (write):** non-FI furnisher needs a **Federal-Government Gazette notification**, or files **through a member partner FI**. → BANK PARTNER.
- **eCIB (SBP registry): closed to non-FIs** — only via a partner FI.
- **Now, no partner:** we score on our own data (Oraan & MF both do this) + queue every default CNIC-linked (consent already signed).

8 • APIs & integrations

- **Now:** own REST API · WhatsApp/SMS OTP (sandbox) · device **camera (getUserMedia)** CNIC scan · **WebAuthn** biometric · **device GPS** (home location, reverse-geocoded).
- **Need next:** **NADRA Verisys / Biometric Verisys** (verify CNIC is real + belongs to the person — the identity gold standard; nadra.gov.pk) · **Raast / PSP aggregator** (real auto-collection pulls) · **TASDEEQ/DataCheck API** (bureau) · **WhatsApp Business API** · **takaful API** (default insurance) · **merchant APIs** (future gold/asset committees).

9 • Feature inventory (live)

Signup (phone-OTP, **CNIC camera scan**, **live GPS home**, app **PIN**, optional **fingerprint**) · committees (discover open-now/next-cycle, tenure-gated turn pick, host controls, fund-the-gap) · **turn marketplace** (buy/sell turns, band-gated) · **turn pricing** (early fee → late bonus) · reliability score/bands · **verification discounts** · **always-on auto-collection** (unremovable; pay early and there's nothing to collect) · mutual PG + weekly undertaking · family withholding · CNIC blacklist + recovery · group chat · Rafa AI guide · Urdu · legal corpus. (*Dormant/removed: vault, deposits, hold-back, profit engines, Credit Passport.*)

10 • Questions to ask him (with *why*)

1. **Sandbox (lead):** "Is there a cohort a pre-revenue platform like this could pilot in?" — *the biggest door he can open.*
2. **Licence line:** "Exactly where does record-only cross into needing an NBFC/EMI licence — custody, a return promise, or the pooling?" — *shows you know the regimes.*
3. **Investment layer:** "Are T-bills/Sukuk pooling a CIS needing an NBFC licence — any lighter path?" — *maturity; tells you if it's worth pursuing.*
4. **Bureau:** "Any route to read/report to eCIB or a bureau without being a licensed FI?" — *your strongest deterrent.*

5. **Consumer protection:** "Given the Karachi/chit-fund frauds, what safeguards would SECP want hard-coded before scale?" — *signals you protect users (his mandate)*.

6. **Insurance:** "Takaful default-cover — own arrangement or ride a partner's licence?" — *he raised it; shows you listened*.

11 • Honest weaknesses

No entity/licence/partner yet · undertaking/PG lawyer-unreviewed · anti-default numbers are simulation · money rails (collection/WhatsApp/bureau) are sandbox · investment layer is the sensitive part (handle per §0/§6). **Your honesty about these is an asset with him.**